

**FEDERAL MARITIME COMMISSION**  
**Office of Administrative Law Judges**

SOUTHERN INTERNATIONAL CO., LTD., *Complainant*

v.

DAYNAMEZ GROUP OF COMPANIES LLC, *Respondent*.

**DOCKET NO. 25-24**

Served May 15, 2026

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**ORDER OF:** Mary Apostolakos HERVEY, *Administrative Law Judge*.

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**ORDER ON COMPLAINANT’S MOTION TO DISMISS COUNTERCLAIM**

This matter came on for consideration of: 1) Complainant’s Motion to Dismiss Respondent’s Counterclaim or, in the Alternative, to Strike Portions of the Counterclaim filed April 17, 2026 (“Motion”) (Dkt. 28); 2) Respondent’s Response to Motion to Dismiss Counterclaim filed May 4, 2026 (“Response”) (Dkt. 36); and 3) Complainant’s Reply in Further Support of Motion to Dismiss Respondent’s Counterclaim or, in the Alternative, to Strike Portions of the Counterclaim filed May 11, 2026 (“Reply”) (Dkt. 38). For the reasons set forth below, Complainant’s Motion is **GRANTED** and Respondent’s Counterclaim is **DISMISSED**.<sup>1</sup>

**I. INTRODUCTION**

**A. Background**

On January 23, 2026, Complainant filed a second amended complaint and Exhibits A-E alleging violations of 46 U.S.C. § 41102(c), 46 U.S.C. § 40901, and 46 U.S.C. § 40902. (Dkt. 18.) On March 27, 2023, Respondent filed its Verified Answer and Affirmative Defenses and Counterclaim. The counterclaim alleges the following claims: Count I for indemnification, defense, and hold harmless, violation of 46 U.S.C. § 41102(a) for not maintaining proper practices relating to the handling and receiving of cargo by letting it become abandoned, and damages for loss of business and reputation; and Count II for breach of contract based on failure to pay Respondent and violation of 46 U.S.C. § 41102(a) arising from the same failure to pay. (Dkt. 24.)

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<sup>1</sup> If an administrative law judge has granted a motion for dismissal of the proceeding in whole or in part, any party desiring to appeal must file such appeal no later than twenty-two (22) days after the service of the ruling on the motion in question. In the absence of an appeal, the order of dismissal of a proceeding in whole or in part shall become the order of the Commission thirty (30) days after the date of service of such order unless within such-30 day period the Commission decides to review such order on its own motion. (46 C.F.R. § 502.227(b-d)).

## **B. Argument of the Parties**

Complainant argues in its motion to dismiss that the counterclaim is deficient for the following reasons: 1) Count I fails to state a coherent Shipping Act claim but rather asserts a downstream dispute involving abandoned cargo that seeks to shift losses to Complainant through theories of indemnity, defense, hold-harmless relief, and business/reputational harm; 2) Count I fails to sufficiently describe the shipments at issue and lacks relevant information, including booking number, bill of lading number, invoice, amount, date of non-payment, and precise roles of downstream entities; 3) Counts I and II constitute a contract dispute rather than a statutory violation of the Shipping Act within the Commission's limited jurisdiction; 4) Count II fails to state a cognizable Shipping Act violation; 5) Count II fails to state a claim for violation of Section 41102(a) because it does not allege bad faith or deceit and an inference cannot be drawn from a party's mere failure to pay ocean or tariff charges; 6) Count II constitutes a contract claim for failure to remit monies owed; and 6) Counterclaim Exhibits A, B, and C fail to cure the pleading's deficiencies and consist of unauthenticated email communications that are difficult to read, low resolution, and cropped screenshots.

Respondent argues in its response that: 1) the FMC has jurisdiction because Respondent's claims arise out of the same factual scenario as alleged in the complaint, the presiding officer determined that Respondent is an NVOCC and held itself out as an NVOCC, and that the parties utilized a Net/Net pricing arrangement; 2) the transactions between the parties resulted in money being owed Respondent, which is a violation of the Shipping Act; 3) the interests of justice require the claim and counterclaim to be decided in the same forum; 4) Respondent is owed money under the Shipping Act for refusing to remit payments and Complainant cannot contest jurisdiction over counterclaim because the Second Amended Complaint set forth sufficient facts to establish jurisdiction over complaint; and 5) the practice by Complainant of not paying Respondent constitutes an unfair practice under 46 U.S.C. § 41102(c).

Complainant argues in its reply that: 1) Respondent has not pleaded a Shipping Act counterclaim and that this fact is confirmed by its response to the motion to dismiss; 2) the counterclaim does not plead facts showing a cognizable Shipping Act violation and fails to satisfy 46 C.F.R. § 502.62(b)(4), which provides that a counterclaim "must allege and be limited to violations of the Shipping Act within the jurisdiction of the Commission;" 3) that the counterclaim must stand on its own as a Shipping Act claim and does not automatically derive jurisdiction based on the Commission's jurisdiction over Complainant's complaint; 4) dismissal of the counterclaim is procedurally proper under 46 C.F.R. § 502.72(c); 5) neither Count I nor Count II of the counterclaim identify a coherent statutory theory necessary to establish a Shipping Act violation; 6) the counterclaim does not allege a practice that satisfies the requirements of 46 C.F.R. § 545.4; 7) the counterclaim does not allege the statutory duty breached, Complainant's regulated capacity with respect to the challenged conduct, that the practice was connected to receiving, handling, storing, or delivering property and occurred on a normal, customary, and continuous basis, or that the practice proximately caused the damages sustained; 8) the counterclaim does not allege bad faith, deceit, false billing, false classification, false weighing, false measurement, or other unjust or unfair device or means or identify any rate, tariff, service contract, filed agreement, or Commission-regulated charge that Complainant allegedly manipulated; 9) the counterclaim does not allege a plausible claim for relief under controlling legal precedent; 10) a Shipping Act claim may coexist with a contract dispute only

when the pleading alleges facts showing a statutory violation that is more than a simple breach of contract, which is not the case here; and 11) if the counterclaim is not dismissed, Complainant requests in the alternative that the non-Shipping Act portions should be stricken.

## II. APPLICABLE LAW

### A. Motion to Dismiss Standard

Pursuant to 46 C.F.R. § 502.63(4), a counterclaim must allege and be limited to violations of the Shipping Act within the jurisdiction of the Commission. Pursuant to 46 C.F.R. § 502.72 (a)(3) and (c), a counterclaim may be dismissed by order of the presiding officer.

Although the Commission's Rules of Practice and Procedure ("Commission Rules") do not explicitly provide for motions to dismiss, Rule 12 of the Commission's Rules states that the Federal Rules of Civil Procedure will be followed in instances that are not covered by the Commission's Rules, to the extent that application of the Federal Rules is consistent with sound administrative practice. 46 C.F.R. § 502.12. Federal Rule of Civil Procedure 12(b) permits a party to raise, by motion, lack of subject matter jurisdiction (12(b)(1)), lack of personal jurisdiction (12(b)(2)), and failure to state a claim (12(b)(6)). FED. R. CIV. P. 12; *see also Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc.*, Dkt. No. 09-01, 2011 WL 7144008, at \*11 (FMC Aug. 1, 2011).

"Proper jurisdiction for a federal court is fundamental and necessary before touching the substantive claims of a lawsuit." *Arena v. Graybar Elec. Co., Inc.*, 669 F.3d 214, 223 (5th Cir. 2012). The "party asserting subject-matter jurisdiction, has the burden of proving its existence by a preponderance of the evidence." *Garanti Finansal Kiralama A.S. v. Aqua Marine & Trading, Inc.*, 697 F.3d 59, 65 (2d Cir. 2012).

Under Federal Rule 12(b)(1), "there are two different types of jurisdictional attacks. In a factual attack, a court may consider matters outside the pleadings. In that situation, the presumption of truthfulness normally granted allegations does not apply." *MAVL Capital, Inc. v. Marine Transp. Logistics, Inc.*, Dkt. No. 16-16, 2 F.M.C.2d 198, 2020 WL 13512925, at \*4 (FMC Oct. 29, 2020) (citations omitted). Under a Federal Rule 12(b)(1) facial attack on subject matter jurisdiction, "the court examines whether the complaint has sufficiently alleged subject matter jurisdiction. Consequently, complainants have the same procedural protection afforded under Rule 12(b)(6)," that is, "all well-pleaded allegations are accepted as true and interpreted in the light most favorable to the complainant. *MAVL Capital*, 2020 WL 13512925, at \*5 (citations omitted). When "jurisdictional facts are intertwined with facts central to the merits of a claim, the Rule 12(b)(6) standard applies." *MAVL Capital*, 2020 WL 13512925, at \*5 (citing *Kerns v. United States*, 585 F.3d 187, 192-93 (4th Cir. 2009)).

"On a motion to dismiss for failure to state a claim upon which relief can be granted pursuant to Rule 12(b)(6), courts will dismiss a claim if the plaintiff's complaint fails to plead 'enough facts to state a claim for relief that is plausible on its face.'" *Cornell v. Princess Cruise Lines, Ltd.*, Dkt. No. 13-02, 2014 WL 5316340, at \*6 (FMC Aug. 28, 2014) (quoting *Bell Atlantic Corp. v. Twombly*, 550 U.S. 544, 570 (2007)). Under this standard, "the facts alleged are taken as true and all reasonable inferences are drawn in the complainant's favor." *MAVL Capital*,

2020 WL 13512925, at \*5. “When evaluating a motion to dismiss for failure to state a claim, the Commission considers the facts alleged in the complaint, documents attached to the complaint, documents incorporated by reference in, or integral to, the complaint, and matters subject to official notice.” *Maier Terminals, LLC v. The Port Authority of New York and New Jersey*, Dkt. No. 12-02, 2015 WL 9426189, at \*1 n.1 (FMC Dec. 18, 2015).

“A claim ‘has facial plausibility when the plaintiff pleads factual content that allows the court to draw the reasonable inference that the defendant is liable for the misconduct alleged.’” *Mitsui*, 2011 WL 7144008, at \*12 (quoting *Ashcroft v. Iqbal*, 556 U.S. 662, 663 (2009)). The complaint’s factual allegations must be enough to raise a right to relief above the speculative level and must nudge claims across the line from conceivable to plausible. *Cornell*, 2014 WL 5316340, at \*6. “Mere labels and conclusions or a “formulaic recitation of the elements of a cause of action” will not suffice, nor will “naked assertions devoid of further factual enhancement.” *Iqbal*, 556 U.S. at 678 (quoting *Twombly*, 550 U.S. at 557). “Where a complaint pleads facts that are merely consistent with a defendant’s liability, it stops short of the line between possibility and plausibility of entitlement to relief.” *Cornell*, 2014 WL 5316340, at \*6(citations omitted). The focus at this stage is not with whether a complainant can prevail on its claim, but whether it has adequately pled the claim. *Negron v. USAA Casualty Ins. Co.*, 2014 WL 4411676, at \*2 (M.D. Tenn. 2014).

In this case, Complainant alleges that the counterclaim contains insufficient allegations to establish jurisdiction under the Shipping Act or that Complainant acted as a regulated entity with respect to the challenged conduct. Complainant also alleges that the counterclaim fails to make a plausible case for any Shipping Act violation, including but not limited to claims under 46 U.S.C. §§ 41102(a) and 41102(c). Thus, Complainant makes a facial jurisdictional attack pursuant to FED. R. CIV. P. 12(b)(1) and asserts that Respondent fails to state a claim upon which relief can be granted pursuant to FED. R. CIV. P. 12(b)(6). In both cases, the plausible claim standard under FED. R. CIV. P. 12(b)(6) applies.

## **B. Jurisdiction**

The Shipping Act provides that a “person may file with the Federal Maritime Commission a sworn complaint alleging a violation of this part.” 46 U.S.C. § 41301(a). Pursuant to this provision, the Commission has jurisdiction over a complaint alleging that a respondent committed an act prohibited by the Shipping Act. *Cargo One, Inc. v. COSCO Container Lines Co.*, Docket No. 99-24, 28 S.R.R. 1635, 1645, 2000 WL 1648961, at \*15 (FMC Oct. 31, 2000). The Commission must address allegations of violations of the Shipping Act, which are within its exclusive jurisdiction; no common law remedy exists for such violations. *Id.* The Commission’s obligation to hear Shipping Act claims extends even to cases where the relevant facts may give rise to other claims between the parties, and even where the parties have already obtained relief for those claims in another forum. *MCS Industries, Inc. v. Mediterranean Shipping Company S.A.*, Dkt. No. 21-05, 2024 WL 95383, at \*7 (FMC Jan. 3, 2024); *Anchor Shipping Co. v. Aliança Navegação E Logística Ltda.*, Dkt. No. 02-04, 30 S.R.R. 991, 2006 WL 2007808, at \*10-11 (FMC May 10, 2006). Shipping Act claims are distinct from breach of contract claims, entailing a different analysis of statutory standards that includes review of the carrier’s broader practices beyond those directly affecting the complainant. *MCS Industries*, 2024 WL 95383, at \*7.

Chapter 411 of Part A, Subtitle IV, of Title 46 contains the codification of “Prohibitions and Penalties” under the Shipping Act, amended and codified, at 46 U.S.C. §§ 41101 through 41110. Section 41102 sets forth certain “General Prohibitions” while other sections in Chapter 411 address prohibitions specific to certain categories of entities regulated under the Shipping Act. For example, Section 41104 prohibitions are applicable to “Common Carriers” and Section 41106 prohibitions are applicable to “Marine Terminal Operators.”

Thus, the Commission has jurisdiction over specified regulated entities that include, *inter alia*, ocean common carriers (“OCC”) and ocean transportation intermediaries (“OTI”). Pursuant to the definition set forth in 46 U.S.C. § 40102(20), an OTI includes non-vessel operating common carriers (“NVOCC”) and ocean freight forwarders (“OFF”). (*See, e.g.*, 46 U.S.C. §§ 40102(7), 40102(17), 41102(c), 41104(2), 41104(3), and 41105(1)). A common carrier is:

a person that: holds itself out to the general public to provide transportation by water of passengers or cargo between the United States and a foreign country for compensation; assumes responsibility for the transportation from the port or point of receipt to the port or point of destination; and uses, for all or part of that transportation, a vessel operating on the high seas or the Great Lakes between a port in the United States and a port in a foreign country. . . .

46 U.S.C. § 40102(7).

An NVOCC is a common carrier that does not operate the vessels by which the ocean transportation is provided; and is a shipper in its relationship with the ocean common carrier. 46 U.S.C. § 40102(17). The definition of “shipper” is broad, and includes not only the cargo owner, but also “the person to whom delivery is to be made” and “a non-vessel-operating common carrier that accepts responsibility for payment of all charges applicable under the tariff or service contract.” 46 U.S.C. § 40102(23).

Although NVOCCs usually do not own or operate vessels that actually carry the cargo, they lease facilities and services from other firms—making them the “common carrier[s]” responsible for transportation of the cargo from origin to destination. *Landstar Express America, Inc. v. FMC*, 569 F.3d 493, 495 (D.C. Cir. 2009) (citation omitted).

An OFF is a person that: in the United States, dispatches shipments from the United States via a common carrier and books or otherwise arranges space for those shipments on behalf of shippers; and processes the documentation or performs related activities incident to those shipments. 46 U.S.C. § 40102(19).

### **C. NVOCC Status**

In order for an entity to operate as an NVOCC, the entity must meet the Shipping Act’s definition of a common carrier. Specifically, it must: (1) hold itself out to the general public to provide transportation by water of passengers or cargo between the United States and a foreign country for compensation; (2) assume responsibility for the transportation from the port or point of receipt to the port or point of destination; and (3) use for all or part of that transportation, a vessel operating on the high seas or the Great Lakes between a port in the United States and a

port in a foreign country. 46 U.S.C. § 40102(7); *see also MAVL Capital*, 2020 WL 13512925, at \*6.

In addition, there must be a link between the respondent's regulated status and the conduct that allegedly violates the Shipping Act. *Auction Block Co. v. Fed. Mar. Comm'n*, 606 Fed. App'x. 347, 347-48 (9th Cir., 2015); *see also Crocus Investments, LLC v. Marine Transs Logistics, Inc.*, Dkt. No. 15-04, 2019 WL 4734299, at \*12 (FMC July 16, 2019) (remanding proceeding) (“The central question in this case is whether, and when, Marine Transport was a regulated entity - common carrier, marine terminal operator, or OTI - with respect to the conduct at issue.”)

### **III. DISCUSSION**

#### **A. Allegations in Counterclaim**

In this case, the allegations in the counterclaim and exhibits incorporated therein by reference are taken as true and all reasonable inferences are drawn in the Complainant’s favor. *MAVL Capital*, 2020 WL 13512925, at \*5. The relevant allegations include:

- Complainant withheld funds that were supposed to be paid to a downstream entity who abandoned the cargo when it was not paid. (Counterclaim ¶ 2.)
- Complainant’s actions violate the Shipping Act of 1984, 46 U.S.C. §§ 40101 et al. (Counterclaim ¶ 3.)
- Respondent seeks damages for loss of business and reputation, including the ocean common carrier to whom money is owed and is seeking damages against Respondent. (Counterclaim ¶ 6.)
- Complainant’s handling of shipments violated 46 U.S.C. § 41102(a) for not maintaining proper practices relating to the handling and receiving of cargo by letting it become abandoned. (Counterclaim ¶ 7.)
- The parties entered into a sales agreement that resulted in Complainant owing Respondent money under the Net.Net agreement. (Counterclaim ¶¶ 8, 9.)
- At the time of the failure to pay, Complainant was an OTI with the Federal Maritime Commission according to its pleadings, that is Complainant was an ocean freight forwarder and NVOCC subject to the jurisdiction of the Federal Maritime Commission. (Counterclaim ¶ 10.)
- Complainant wrongfully withheld payment to Respondent. (Counterclaim ¶¶ 10, 13.)
- Respondent seeks damages including money owed, court costs, interest, and attorney fees. (Counterclaim ¶ 13.)

As an initial matter, I find that the counterclaim contains an insufficient factual predicate to support a plausible claim for any Shipping Act violation whatsoever. The counterclaim does not meaningfully describe the shipments at issue, the nature of the parties roles with respect to the shipments, or the specific conduct that allegedly violates the Shipping Act. In sum, the counterclaim alleges that the parties entered into a sales agreement, that Complainant failed to pay downstream entities in accordance with the agreement, that a downstream entity abandoned cargo due to non-payment, and that claims for non-payment have been asserted against Respondent, including one by an ocean common carrier. Based on these events, Respondent seeks damages including money owed, court costs, interest, and attorney fees.

These allegations are insufficient to establish a plausible Shipping Act violation under the applicable legal standards. It unclear what shipments were involved, what routes the shipments were transported, the manner in which the shipments were transported, or who was responsible for transportation of the shipments.

Additionally, it is unclear what roles Complainant and Respondent played with respect to the shipments whose cargo was abandoned, and whether Complainant acted as a regulated entity with respect to any alleged Shipping Act violation. For this reason, the counterclaim fails to set forth a plausible Shipping Act violation because there are insufficient facts linking Complainant's regulated status and the conduct that allegedly violates the Shipping Act in accordance with *Crocus Investments, LLC*, 2019 WL 4734299, at \*12.

#### **B. Counterclaim Fails to Make Plausible Claim Under Section 41102(a)**

Section 41102(a) states that a “person may not knowingly and willfully, directly or indirectly, by means of false billing, false classification . . . or any other unjust or unfair device or means, obtain or attempt to obtain ocean transportation for property at less than the rates or charges that would otherwise apply.” 46 U.S.C. § 41102(a). Proving a § 41102(a) claim requires three elements: (1) knowing and willful conduct; (2) through which, either “directly or indirectly,” by means of the actions enumerated in the statute or through “any other unjust or unfair device or means;” (3) respondent obtained or attempted to obtain ocean transportation at lesser rates. *Muhammad Rana v. Michelle Franklin D.B.A. “The Right Move,” Inc.*, Dkt. No. 19-03, 5 F.M.C.2d 7, 2022 WL 1744905, at \*7 (FMC May 25, 2022); *see also OC Int’l Freight, Inc.*, Dkt. No. 12-01, 2014 WL 5316336, at \*4 (FMC July 31, 2014).

It is undisputed that fraud or concealment is a necessary to establish an unjust or unfair device or means. *Capitol Transportation, Inc. v. United States*, 612 F.2d 1312 (1st Cir. 1979). It is such fraud or concealment that in fact makes the practice unjust or unfair. Whether an act constitutes an unfair or unjust device depends on its similarity to false billing, false classification or the other prohibited conduct. *Hohenberg Bros. Co. v. Fed. Mar. Comm’n*, 316 F.2d 381 (D.C. Cir.1963); *U.S. v. Open Bulk Carriers*, 727 F.2d 1061, 1064 (11th Cir. 1984).

In this case, the counterclaim does not allege that Complainant acted knowingly or willfully by any unjust or unfair device or means to obtain or attempt to obtain ocean transportation at less than the rates or chares that would otherwise apply. Moreover, the counterclaim does not allege that Complainant engaged in either fraud or concealment as is required to establish an unjust or unfair practice. Rather, the counterclaim merely asserts that Complainant failed to pay downstream entities in accordance with the sales agreement executed by the parties. In the absence of an allegation of

knowing and willful conduct constituting an unjust or unfair practice, the counterclaims does not set forth a plausible claim of a violation under 46 U.S.C. § 41102(a).

### **C. Counterclaim Fails to Make Plausible Claim Under Section 41102(c)**

Respondent asserts in its response to Complainant's motion to dismiss that Complainant's failure to pay downstream entities in accordance with the agreement executed by the parties constitutes an unreasonable practice in violation of 46 U.S.C. § 41102(c).<sup>2</sup> For the reasons set forth below, I find that the counterclaim fails to allege a plausible violation of 46 U.S.C. § 41102(c).

Section 41102(c) of the Shipping Act, states that a "common carrier, marine terminal operator, or ocean transportation intermediary may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property." 46 U.S.C. § 41102(c).

Pursuant to 46 U.S.C. § 545.4, to establish a violation of § 41102(c), a complainant must demonstrate that: (1) the respondent is a regulated entity; (2) the claimed acts or omissions occurred on a normal, customary, and continuous basis; (3) the practice or regulation is connected with receiving, handling, storing, or delivering property; (4) the practice or regulation is unjust or unreasonable; and (5) the practice or regulation is the proximate cause of the claimed loss. The counterclaim fails to allege sufficient facts to make a plausible claim that any of these elements have been satisfied.

With respect to the first element requiring Complainant to be a regulated entity, Respondent argues that this is satisfied by the fact that Complainant admits in paragraph 9 of the second amended complaint (Dkt. 18) that it is an Ocean Transportation Intermediary registered with the Commission. This fact alone is insufficient to prove that Complainant is a regulated entity because the counterclaim fails to establish a link between Complainant's regulated status and the conduct that allegedly violates the Shipping Act in accordance with *Crocus Investments, LLC*, 2019 WL 4734299, at \*12. Although Complainant is no doubt licensed as an OTI by the Commission, Respondent has failed to set forth a plausible claim that it was acting in the capacity of a regulated party, that is either an NVOCC or freight forwarder, with respect to the alleged Shipping Act violation at issue.

With respect to the second element requiring the claimed act or omissions to occur on a normal, customary, and continuous basis, the counterclaim makes no allegation in this regard. Rather, it asserts only that Complainant failed to pay downstream entities in accordance with the

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<sup>2</sup> The counterclaim itself contains no allegation that Complainant violated Section 41102(c). Therefore, it would appropriate for me to not even consider this argument. (*Samsung Electronics Am., Inc. v. Orient Overseas Container Line, Ltd.*, Dkt. No. 24-17, 2025 WL 2207363, at \*9 (FMC Jul. 30, 2025) (citation omitted) ("However, the current counterclaim does not make those allegations, and courts evaluating the sufficiency of such claims generally cannot consider factual allegations raised only in later briefs.")). Nevertheless, for the sake of completeness, I analyze this argument.

agreement executed between the parties and provides no factual predicate to support a finding that this occurred on a normal, customary, and regular basis.

With respect to the third element requiring the practice or regulation to be connected with receiving, handling, storing, or delivering property, the counterclaim contains no factual allegation that establish a plausible claim on this element. In fact, other than alleging that cargo was abandoned as a result of Complainant's failure to make payment in accordance with the agreement executed between the parties, there are no allegations illuminating what was agreed to by the parties or whether it was connected to receiving, handling storing or delivering property.

With respect to the fourth element requiring the practice to be unjust or unreasonable, the counterclaim does not allege facts regarding whether Complainant was in the practice of not making payments or whether it was unreasonable for Complainant to do so under the circumstances.

With respect to the fifth element requiring the practice to be the proximate cause of the claimed loss, the counterclaim is silent as to the factual basis supporting Respondent's claim for damages. There are no factual allegations describing the non-payment in detail or the nature of the claims made by third parties against Respondent as a result. Moreover, there are no factual allegations linking Complainant's non-payment to the harm allegedly caused. Respondent's unsupported assertion that it suffered harm is insufficient to establish a plausible claim that Complainant's violation of the Shipping Act proximately caused injury to Respondent.

For these reasons, I find that the counterclaim does not set forth a plausible claim of a Shipping Act violation pursuant to 46 U.S.C. § 41102(c).

#### **D. The Commission Lacks Jurisdiction Over Contract Disputes**

In general, while the Commission has exclusive jurisdiction over claims arising under the Shipping Act, the Commission does not have jurisdiction over common law claims. *Cargo One, Inc. v. COSCO Container Lines Co., Ltd.*, Dkt. No. 99-24, 2000 WL 1648961, at \*15 (FMC Oct. 31, 2000) (noting that claims alleging breach of contract violations are not properly before the Commission)).

In other words, if a complaint involves "elements peculiar to the Shipping Act" and "raises issues beyond contractual obligations," then it is presumptively properly before the Commission even if it also sounds in breach of contract. On the other hand, "allegations essentially comprising contract law claims" are presumptively barred by § 40502(f), unless the complainant can demonstrate that the claim is "more than a simple contract breach claim." *MSC Mediterranean Shipping Company Co. S.A., v. Fed. Mar. Comm'n*, 141 F.4<sup>th</sup> 222, 233 (D.C. Cir. 2025), citing *Cargo One, Inc.*, 2000 WL 1648961, at \*14.

The counterclaim alleges that the parties entered into a sales agreement, that Complainant failed to make payment in accordance with that agreement, and that Respondent incurred damages as a result. Respondent seeks to recover the amounts not paid as well as damages for the resulting loss of business and reputational harm. Respondent alleges that third parties, including an ocean common carrier, have made claims against Respondent due to the non-

payment and also seeks indemnification and hold harmless remedies. Thus, Respondent alleges a classic breach of contract dispute.

At the same time, the counterclaim does not allege a cognizable Shipping Act violation. As discussed above, Respondent fails to allege plausible claims under 46 U.S.C. §§ 41102(a) and 41102(c), the only two specific statutory provisions referenced in its counterclaim and opposition to motion to dismiss. Respondent's general allegation at paragraph 3 of the counterclaim that "the actions of SIC are a violation of the to the Shipping Act of 1984 46 USCA 40101, et al." is insufficient on its own to create a plausible claim of any other specific statutory violation.

Accordingly, pursuant to the precedent set forth in *Cargo One, Inc.*, 2000 WL 1648961, at \*15 and *MSC Mediterranean Shipping Company Co.*, 141 F.4<sup>th</sup> at 233, Respondent has failed to demonstrate that the counterclaim asserts anything more than a contract claim. For this reason, I find that the counterclaim exceeds the Commission's limited jurisdiction to hear cases cognizable under the Shipping Act and is properly dismissed pursuant to 46 C.F.R. §§ 502.62(b)(4) and 46 C.F.R. § 502.72 (b) and (c). Additionally, the counterclaim is properly dismissed pursuant FED. R. CIV. P. 12(b)(1) for lack of subject matter jurisdiction and FED. R. CIV. P. 12(b)(6) for failure to state a plausible claim of a Shipping Act violation for which relief can be granted.<sup>3</sup>

#### **IV. Order**

Upon consideration of the record and the arguments of the parties, it is hereby

**ORDERED** that Complainant's Motion to Dismiss the counterclaim (Dkt. 28) is **GRANTED**. It is

**FURTHER ORDERED** that Respondent's Counterclaim is **DISMISSED**.

MARY A. HERVEY -S

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Mary Apostolakos Hervey  
Administrative Law Judge

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<sup>3</sup> As Respondent has not moved for leave to amend the counterclaim, I shall not consider whether amendment would be futile.